

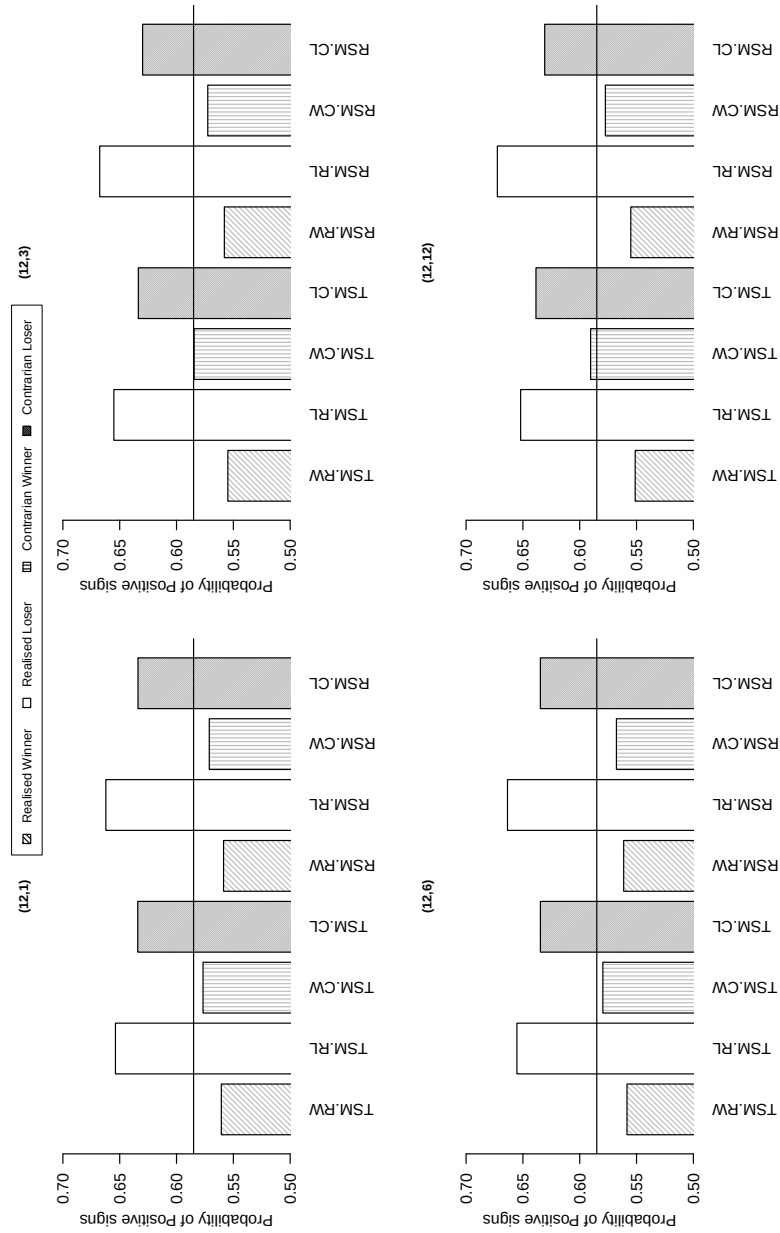


Figure 5: Sign analysis of post TSM and RSM holding period performance (month 13-24).

Reported figure shows the probability of positive signs of the realised winner (RW), realised loser (RL), contrarian winner (CW), and contrarian loser (CL) sub-portfolios during the post holding period (month 13-24). Decomposition method of the 4 sub-portfolios can be seen in Figure 1. The baseline, TSM and RSM strategies, are performed using an asset pool with 55 futures from January, 1985 to March, 2015. Different panels represent different (j, h) schemes in constructing trend-following strategies, where j is the 12-month look-back period and h is the holding period ranging from month 1-12. The horizontal line denotes the unconditional average of the entire sample.